MAVEN TOYS

Colorbuds, our #1 profit toy, is in decline

A plan to protect profit by backing newer, higher-margin toys



Business review | Data through Sep 30, 2023

Our top profit toy is fading, and a newer toy is already making up part of the gap

COLORBUDS' SHARE OF QUARTERLY PROFIT

28% → 13%

Q3 2022 to Q3 2023

PLAYFOAM'S RANK AMONG ALL TOYS BY PROFIT

#2 of 35

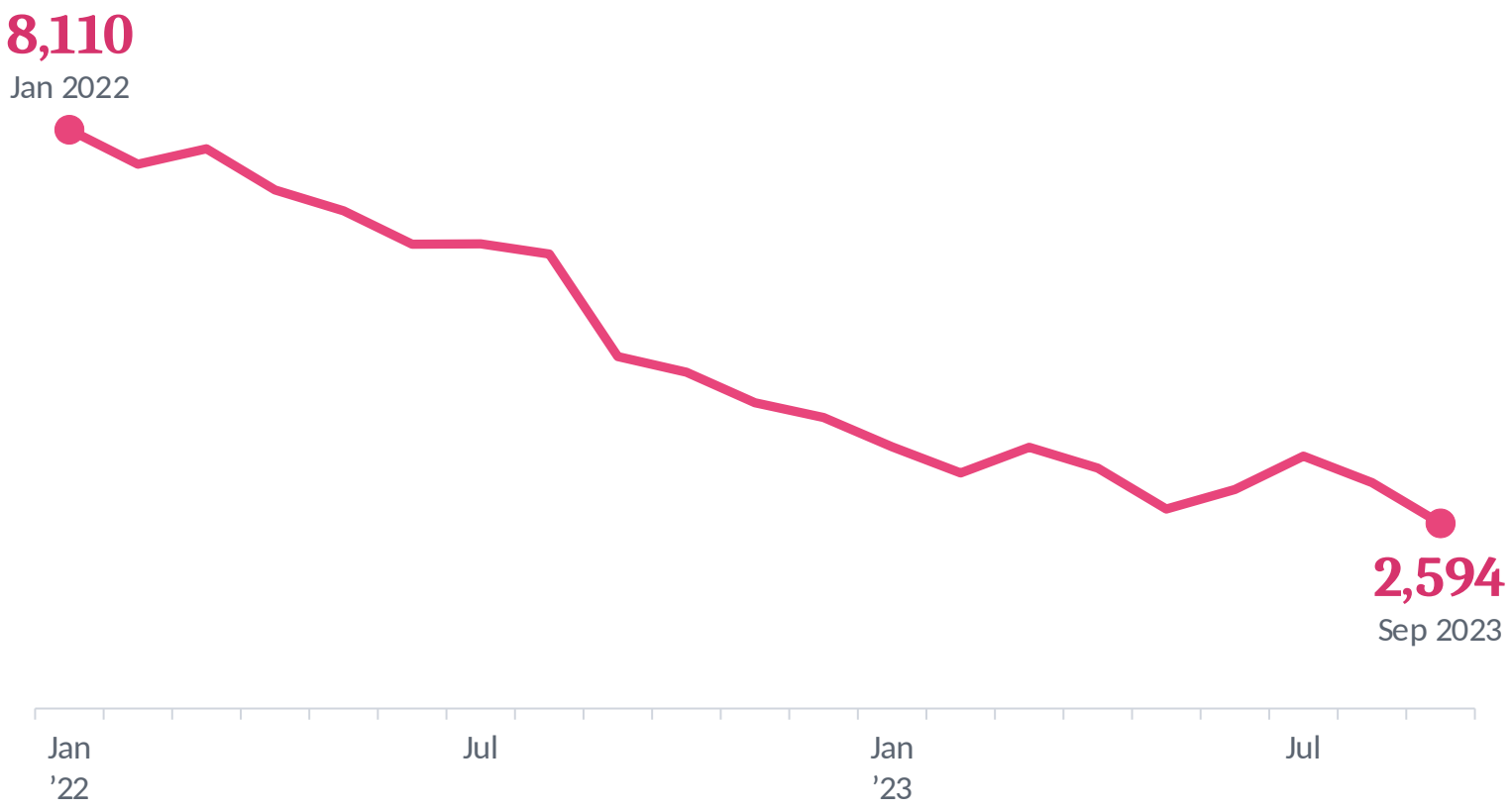
Behind only Colorbuds, in its first six full weeks on sale

- Colorbuds is still our **#1 profit toy**, but its share has **more than halved**
- Playfoam is our **strongest launch yet**: #2 in profit after six weeks, ahead of all 10 other new toys
- Playfoam earns about **$20K a month**, nearly half of the $44K Colorbuds has lost

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Colorbuds sales have fallen 68% since January 2022, across almost every store

COLORBUDS UNITS SOLD PER MONTH



WHAT WE SEE

- Down in **48 of 50 stores**, in every store type
- Every store still carries it, so this is **weaker demand, not empty shelves**
- Quarterly profit has **roughly halved**: $142K to $74K

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Fading is normal for our toys: 9 of 10 recent launches are 40%+ below their peak

9 of 10

recent launches are **40%+ below their peak month**



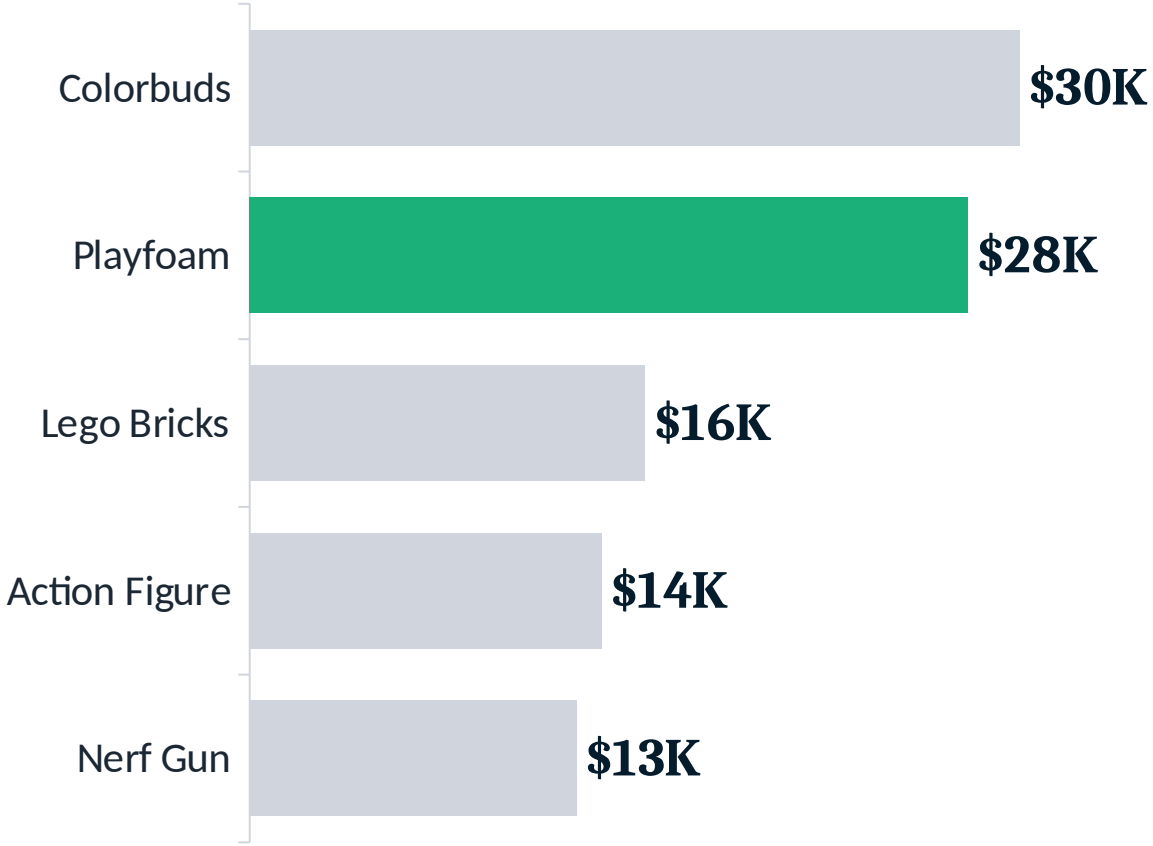
EXAMPLES

- Jenga peaked in Jul 2022 and is now down 92%
- Etch A Sketch peaked its second month and is down 56%
- Mr. Potatohead peaked in Nov 2022 and is now down 65%
- **Colorbuds is following the same trend**

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Playfoam is the early bright spot, and full shelves could cover over half of Colorbuds' lost profit

ESTIMATED PROFIT BY TOY, LAST SIX FULL WEEKS (AUG 20 - SEP 30)



64% margin

$7 profit on every unit

13 stores out of stock

13 x 57 units x $7 = +$5K a month ($20K to $25K)

- **#1 profit toy in 2 of 6 weeks**, ahead of Colorbuds
- New toys often cool off, so **the window to act is short**

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.

Next 8 weeks: keep Playfoam on shelves, test a Colorbuds fix, then back what works

1

Restock Playfoam

Goal: stop losing Playfoam sales to empty shelves

- Refill the 13 stores that have none
- Playfoam goes from $20K to about $25K profit a month, over half of what Colorbuds lost
- Check stock every week

2

Test a Colorbuds fix

Goal: win back some of the lost Colorbuds sales

- Try new colors, a bundle with Gamer Headphones, or a better shelf spot
- Test it in 10 stores, against 10 similar stores that change nothing
- Winning back a quarter of the lost sales adds $11K profit a month

3

Review in 8 weeks

Goal: put effort behind what works

- Roll out the Colorbuds fix if the test stores sold 15% more, otherwise drop it
- Check whether Playfoam is holding up or cooling off
- Pick the next higher-margin toy to back

Source: Maven Toys sales data, Jan 2022 – Sep 2023. Profit is estimated from current price and cost.